PAPER 4: COST AND MANAGEMENT ACCOUNTING (100 MARKS)

Objective

a To develop an understanding of the basic concepts and applications to establish the cost associated with the production of products and provision of services and apply the same to determine prices.

b To develop an understanding of cost accounting statements.

c To acquire the ability to apply information for cost ascertainment, planning, control and decision making.

d To apply costing methods to determine the costs for different purposes.

e To apply appropriate techniques to support short term decisions.

Contents

I Overview of Cost and Management Accounting:

i Introduction to Cost and Management Accounting:

a Objectives and Scope of Cost and Management Accounting.
b The users of Cost and Management accounting information, Functions of management accounting.
c Role of cost accounting department in an organisation and its relation with other departments.
d Installation of Costing System.
e Relationship of Cost Accounting, Financial Accounting, Management Accounting and Financial Management.
f Cost terms and Concepts.
g Cost Reduction and Cost Control
h Elements of Costs.
i Cost behavior pattern, Separating the components of fixed, variable, semi-variable and step costs.
j Methods of Costing, Techniques of Costing.
k Digital Costing.

ii Elements of Cost and preparation of Cost Sheets:

a Functional classification and ascertainment of cost.
b Preparation of Cost Sheets for Manufacturing sector and for Service sector.

2 Ascertainment of Cost and Cost Accounting System:

i Material Cost:

a Introduction to procurement procedures. Valuation of receipts, issue and closing stock of Material, Stock verification.
b Material requirement analysis through digital costing including Government e-Marketplace (GeM). Introduction to Costing through Enterprise Resource Planning (ERP). Process of tender and quotation.
c Inventory control:
- Techniques of fixing level of stocks- minimum, maximum, re-order point, safety stock, determination of optimum stock level.
- Determination of Optimum Order quantity- Economic Order Quantity (EOQ).
- Techniques of Inventory control- ABC Analysis, Fast, Slow moving and Non moving (FSN), High, Medium, Low (HML), Vital, Essential, Desirable (VED), Just-in-Time (JIT)- Stock taking and perpetual inventory system, use of inventory control ratios, Digital Inventory control.

d Treatment of Normal/Abnormal Losses w.r.t. waste, scrap, spoilage, defective, obsolescence.

ii Employee Cost:

a Introduction to Attendance and Payroll procedures.
b Elements of wages- Basic pay, Dearness Allowance, Overtime, Bonus, Holiday and leave wages, Allowances and perquisites.
c Employee Cost Control.
d Employee Turnover- Methods of calculating employee turnover, causes of employee turnover, effects of employee turnover.
e Remuneration systems and incentive schemes- Premium Bonus Method (Halsey Plan and Rowan Plan).

iii Direct Expenses:

Identification of direct expenses with the main product or service and its treatment.

iv Overheads:

a Functional analysis- Factory, Administration, Selling, Distribution, Research and Development.
b Behavioral analysis- Fixed, Variable and Semi-Variable.
c Allocation and Apportionment of overheads using Absorption Costing Method.
d Factory Overheads- Primary and secondary distribution.
e Administration Overheads- Method of allocation to cost centres or products.
f Selling & Distribution Overheads- Analysis and absorption of the expenses in products/ customers, impact of marketing strategies, cost effectiveness of various methods of sales promotion.
g Treatment of Research and development cost in cost accounting.

v Concepts of Activity Based Costing (ABC).

vi Integration of cost and financial data:

a Recording of financial data and its segregation.
b Introduction to Non-integrated and Integrated Accounting system.
c Items included in cost accounts only but financial accounts and vice versa.
d Reconciliation of profit as per Cost and Financial Accounts (under Non-Integrated Accounting System).



3 Methods of Costing

i Single Output/ Unit Costing.

ii Job Costing:

Job cost cards and databases, collecting direct costs of each job, attributing overheads to jobs, Application of job costing.

iii Batch Costing:

Determination of optimum batch quantity, Ascertainment of cost for a batch, Preparation of batch cost sheet, Treatment of spoiled and defective work.

iv Process/ Operation Costing:

a Process cost recording, Process loss, Abnormal gains and losses, Equivalent units of production, Inter-process profit, Valuation of work in process.
b Joint Products-Apportionment of joint costs, Methods of apportioning joint cost over joint products.
c By-Products-Methods of apportioning joint costs over by- products, treatment of By-Product cost.

v Costing of Service Sectors:

Determination of Costs and Prices of services.

4 Cost Control and Analysis:

i Standard Costing:

a Setting up of Standards, Types of Standards, Standard Costing as method of performance measurement.
b Calculation and Reconciliation of Material Cost, Labour cost, Variable Overhead, Fixed Overhead.

ii Marginal Costing:

a Basic concepts of marginal costing, Contribution margin, Break-even analysis, Break–even and profit volume charts, Contribution to sales ratio, Margin of Safety, Angle of Incidence, Cost-Volume-Profit Analysis (CVP).
b Determination of Cost of a product/ service under marginal costing method, determination of cost of finished goods, work-in-progress.
c Comparison of Marginal costing with absorption costing method- Reconciliation of profit under both the methods.
d Short term decision making:
- Make or buy decision
- Discontinuation decision
- Multiproduct break-even analysis
- Limiting factor (key factor)

iii Budget and Budgetary Control:

a Meaning of Budget, Essentials of Budget, Budget Manual, Budget setting process, Preparation of Budget and monitoring procedures.
b The use of budget in planning and control.
c Flexible budget, Preparation of Functional budget for operating and non-operating functions
d Cash budget, Master budget.
e Introduction to Principal/ Key budget factor, Zero Based Budgeting (ZBB), Performance budget, Control ratios and Budget variances.
f Budgets and motivation.
g Feedback and Feed forward controlling in budgeting.